GEOECONOMIC STRATEGY UNIT

EU Supply-Chain Diversification: A Sector-Specific Opportunity for Indian Exporters

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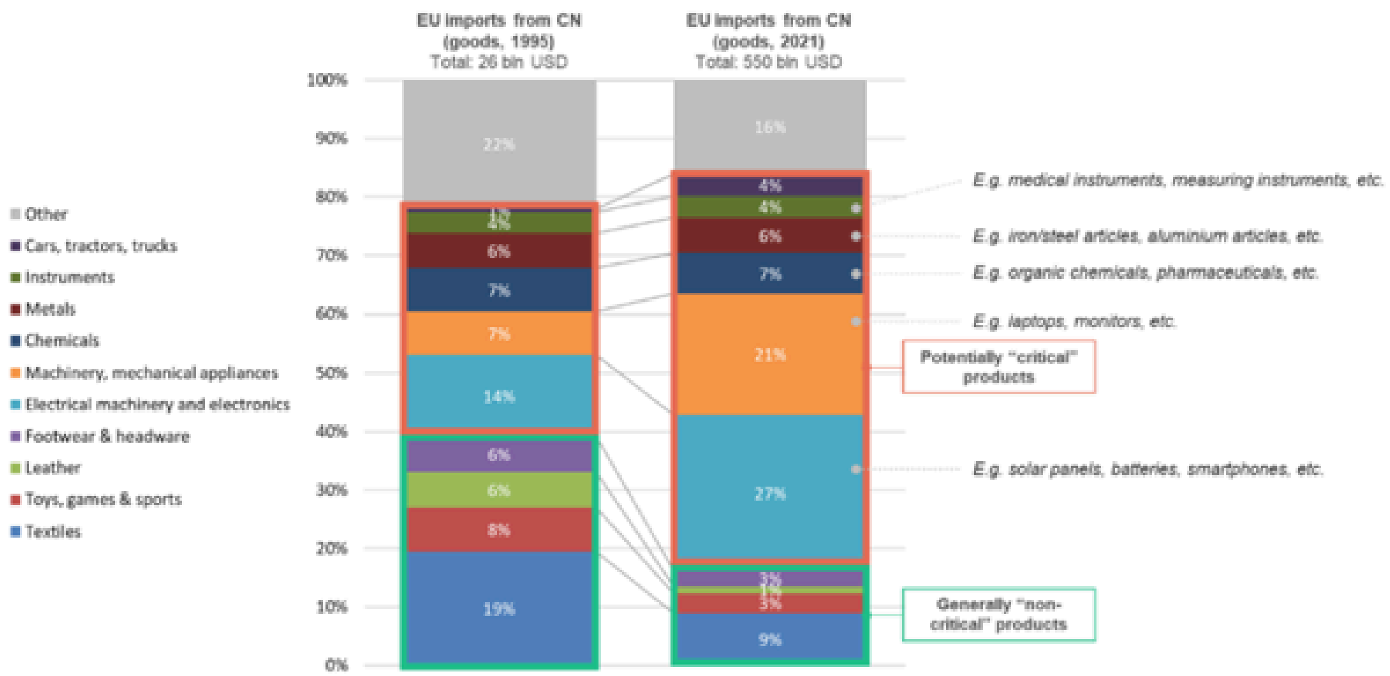
The European Union is considering stronger supply-chain resilience measures aimed at reducing excessive dependence on single-country suppliers. Trade Commissioner Maroš Šefčovič said the Commission may require firms in sensitive sectors to source from at least three different suppliers, partly to reduce reliance on Chinese supply. Reuters reports that the proposal could build on existing policy guidance encouraging diversification where firms rely on one source for more than 40% of certain supplies. Šefčovič's remarks suggest that such guidance could be broadened and made more binding. However, he also stated that new rules would be determined in consultation with industry and would include a transition period to avoid major disruptions.The policy signal indicates potential opportunity for Indian firms in sectors such as textiles, generic drugs, automotive parts, and IT services should EU firms gradually pivot from China in anticipation of regulatory change. However, the upside could be limited by the burden of compliance with European regulatory standards and India's own dependence on Chinese inputs in pharmaceuticals, electronics, batteries, and industrial components. Additionally, Indian firms will compete with other alternative suppliers for access to the EU market.

Immediate Political and Market Reaction

Figure 1 - EU imports from China composition (goods, 1995-2021)



Source: European Commission

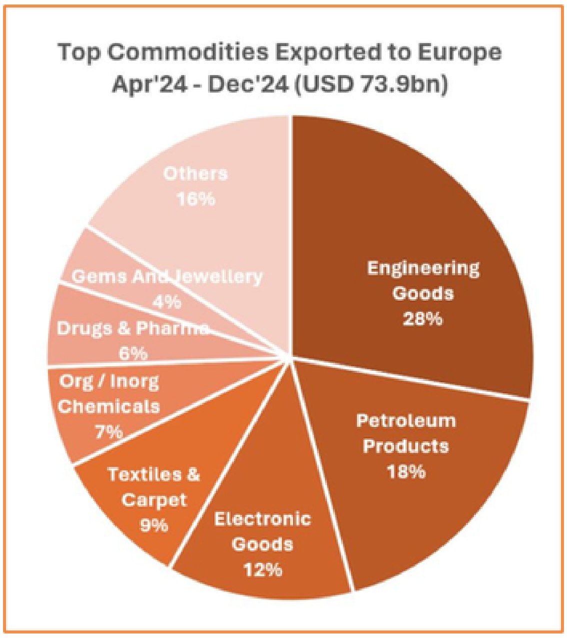
- Any legislation would need to pass through the EU's institutional process and could expose differences between member states, particularly between France's more interventionist approach and Germany's concern for export-oriented manufacturers with China exposure. China has criticized proposed trade restrictions, urging the bloc to comply with WTO rules.

- Thus far, European businesses have explored the possibility of supply chain diversification, but many still depend on Chinese imports. A December 2025 report by the EU Chamber of Commerce found that more than 70% of European companies in China are reviewing their supply chains, but 22% said they have no alternative suppliers for key components. Šefčovič acknowledged that diversification carries costs and argued that companies should increasingly incorporate supply-chain risk into sourcing decisions.
- Any ·supply-chain adjustments are expected to occur gradually because of industry's continued reliance on Chinese suppliers and the transition periods under consideration. The plan fits with other EU measures, including tariffs on Chinese electric vehicles, aimed at balancing open trade with economic security.

Commercial Implications

- Near-term opportunities will likely be limited, given that the initiative is still being considered and will probably contain a transition period. However, political signalling towards supply chain resilience could prompt gradual reorientation towards diverse supply in anticipation of concrete legislation. India stands to gain most in those areas where it already has export advantages, though it faces competition from alternative hubs like Mexico, Vietnam, Indonesia, and Malaysia. Any shift is also likely to be gradual, as many European firms remain deeply integrated into China-centred supply chains, rendering the cost of diversification steep.
- Immediate benefits could be seen in the textiles and apparel industry. India accounts for only 3% of EU textile and apparel imports, leaving room for significant expansion. Major European brands like H&M and Zara have suggested an intent to pivot away from China. Future EU-FTA provisions for zero-tariff access may enhance India's advantage over competitors, provided firms can scale and meet the burden of compliance.

Figure 2



Source: IBEF

- The pharmaceutical and specialty chemical sectors are also well-positioned. India currently exports \$3.3 billion in generic drugs and \$5.1 billion in organic chemicals to a combined EU market worth €442 billion. However, India's dependence on China for roughly 70% of its active pharmaceutical ingredients and many key starting materials could limit its appeal to EU companies ultimately looking to diversify supply chains.
- As shown in Figure 2, engineering goods and electronic goods already represent significant shares of India's exports to Europe, accounting for 28% and 12% respectively in Apr–Dec 2024. This gives Indian firms a stronger base than in sectors where they lack existing export scale. However, opportunities in higher-value engineering, automotive components and electronics could be limited by dependence on Chinese batteries, processed rare earths and other upstream inputs, which may weaken their appeal to European firms seeking to reduce China-linked supply-chain exposure.
- Ultimately, EU supply chain diversification policy and the bloc's wider de-risking strategy could create upside for Indian exporters by encouraging European firms to seek alternative suppliers. The opportunity will intensify if the EU converts the proposal into binding rules and an EU-India FTA lowers trade barriers, but it will remain limited where Indian firms lack scale, depend on Chinese inputs, or struggle to meet EU regulatory standards.